

Day 6 Internship Notes

Date: 06-06-2026

Work Start time

9:00am

Today's Objective

- Bid, Ask, Spread
- Liquidity Introduction
- Market Navigator Indicator in DeepVue.

Introduction:

Today I learned how stock transactions actually occur in the market through the interaction of buyers and sellers. Understanding Bid Price, Ask Price, Spread, and Liquidity helped me see what happens behind every trade execution. I also explored the DeepVue Market Navigator Indicator, which provides objective buy and sell signals based on price action, volume, and moving averages. These concepts are essential because professional traders rely on them daily to evaluate market conditions and make disciplined trading decisions.

Topics learned Today:

Topic 1: Bid Price, Ask Price, and Spread:

Whenever a stock is traded, there is always a buyer and a seller. The interaction between these participants determines the current market price.

Bid Price:

The Bid Price is the highest price a buyer is willing to pay for a stock at a given moment.

Example:

Bid: \$99.95

This means buyers are currently willing to purchase shares at \$99.95.

Ask Price:

The Ask Price is the lowest price a seller is willing to accept for a stock.

Example:

Ask: \$100.00

This means sellers are offering shares at \$100.00.

Spread:

The difference between the Bid Price and Ask Price is known as the Spread.

Formula:

$$\text{Spread} = \text{Ask Price} - \text{Bid Price}$$

Example:

Ask = \$100.00

Bid = \$99.95

Spread = \$0.05

The spread represents the transaction cost that traders indirectly pay when entering and exiting trades.

Real-Time Trading Importance of Spread:

Professional traders continuously monitor spreads because they directly affect profitability and trade execution.

Tight Spread:

Example:

Bid = \$100.00

Ask = \$100.01

Spread:

\$0.01

This indicates:

- High trading activity.
- Strong liquidity.
- Efficient order execution.
- Lower transaction costs.

Large-cap stocks such as AAPL, NVDA, and MSFT often have very tight spreads due to high participation from buyers and sellers.

Wide Spread:

Example:

Bid = \$100.00

Ask = \$101.00

Spread:

\$1.00

This indicates:

- Lower liquidity.
- Fewer market participants.
- Greater trading risk.
- Difficult trade execution.

A trader entering such a stock immediately starts at a disadvantage because of the large difference between buying and selling prices.

Topic 2: Liquidity:

Liquidity refers to how easily a stock can be bought or sold without causing a significant impact on its market price.

A highly liquid stock allows traders to enter and exit positions quickly while maintaining stable prices.

Real-Time Example

Imagine a trader wants to buy:

100 Shares of NVDA

The order will likely be filled instantly because thousands of shares are actively traded every second.

Now imagine buying:

100 Shares of a low-volume small-cap stock

The order may take longer to fill and could even move the stock price because there are fewer buyers and sellers available.

Why Traders Care About Liquidity

Professional traders prefer liquid stocks because they provide several advantages.

Faster Entries

Orders are executed quickly without significant delays.

Faster Exits

Positions can be closed efficiently when market conditions change.

Reduced Slippage

The execution price remains close to the intended price.

Better Reliability

Price movements are supported by genuine market participation rather than isolated transactions.

This is one reason why institutional investors and professional traders focus on highly liquid stocks.

Topic 3: DeepVue Market Navigator Indicator:

The DeepVue Market Navigator Indicator is designed to provide objective buy and sell signals directly on a stock chart.

Its primary goal is to remove emotional decision-making and replace it with rule-based trading signals.

Instead of relying solely on intuition, traders can use predefined technical conditions to identify potential entry and exit opportunities.

The indicator includes multiple buy and sell setups based on:

- Price action
- Moving averages
- Volume analysis
- Trend strength

It can be customized according to different trading styles.

Swing Traders

Often focus on signals involving the 21 EMA because it reacts more quickly to price movement.

Position Traders

Typically prioritize signals involving the 50 SMA and 200 SMA to follow longer-term trends.

Key Buy Signals

1. Moving Average Crossovers

Buy signals may occur when price closes above:

- 21 EMA
- 50 SMA
- 200 SMA

Real Trading Meaning

A close above these moving averages often indicates increasing demand and improving momentum.

Example:

NVDA trades below the 50 SMA for several weeks. As buying pressure increases, the stock closes above the 50 SMA on strong volume.

This may signal the beginning of a new uptrend and attract additional buyers.

2. Trending Above 21 EMA

The indicator monitors stocks that remain above the 21 EMA for several consecutive periods.

Real Trading Meaning

Strong growth stocks often use the 21 EMA as dynamic support.

When price consistently remains above this level:

- Buyers remain in control.
- Momentum remains positive.
- Pullbacks are often shallow.

This behavior is frequently observed in leading stocks during bullish market conditions.

3. Accumulation Days

An accumulation day occurs when:

- Price closes strongly.
- Trading volume increases significantly.

Why It Matters

High volume suggests institutional participation.

Since institutions control large amounts of capital, accumulation days often indicate professional buying activity.

Many traders view accumulation days as a sign of strength and potential continuation.

4. Higher High Breakouts

A higher high breakout occurs when price breaks above a consolidation range or previous resistance level.

Example:

A stock trades sideways for approximately 14 trading sessions before finally moving above resistance.

Real Trading Meaning

Supply has been absorbed and demand is now exceeding supply.

This often leads to increased momentum and trend continuation.

Breakouts accompanied by strong volume are generally considered more reliable.

5. Key Reversal Bars

Key reversal bars occur when a stock reverses direction during the trading session and closes strongly.

Why It Matters

These bars can indicate a shift in market sentiment and often appear near important support levels.

Traders use them as confirmation that buyers are regaining control.

Practical Learning

Today I understood that successful trading is not only about predicting whether a stock will move up or down. It is also about understanding market participation and trade execution.

Bid Price, Ask Price, Spread, and Liquidity reveal how efficiently a market functions and how easily traders can enter or exit positions.

The DeepVue Market Navigator provides a structured framework for identifying opportunities through objective buy and sell signals rather than emotional decision-making.

By combining market mechanics with technical analysis, traders can make more informed and disciplined decisions.



DeepVue Practice – Market Navigator Indicator

During today's practical session, I explored the Market Navigator Indicator available in DeepVue and learned how it helps traders identify objective buy and sell opportunities directly from stock charts. I observed how the indicator generates signals based on moving average crossovers, trend strength, price action, and volume behavior. While analyzing NVIDIA (NVDA), I noticed how the indicator displayed bullish and bearish markers whenever important technical conditions were met. I also observed the interaction between price and key moving averages such as the 50 SMA, 150 SMA, and 200 SMA, which helped me understand trend direction and momentum changes more clearly. The Market Navigator highlighted accumulation signals, breakout opportunities, and potential distribution periods, allowing me to quickly identify important market events without manually analyzing multiple indicators. This practice demonstrated how professional traders use rule-based technical signals to improve decision-making, maintain discipline, and efficiently evaluate trading opportunities while reducing emotional bias in the trading process.

Questions I Had and Answers I got :

Q1. What is the difference between a Bid Price and an Ask Price?

The Bid Price is the highest price a buyer is willing to pay for a stock, while the Ask Price is the lowest price a seller is willing to accept. The difference between these two prices is called the spread. Every market transaction occurs when buyers and sellers agree on a price.

Q2. Why is liquidity important in stock trading?

Liquidity determines how easily a stock can be bought or sold without significantly affecting its price. Highly liquid stocks provide faster execution, lower slippage, tighter spreads, and reduced trading costs. Professional traders generally prefer liquid stocks because they allow efficient entry and exit from positions.

Q3. How does the DeepVue Market Navigator Indicator help traders?

The DeepVue Market Navigator Indicator helps traders identify objective buy and sell opportunities using technical signals based on moving averages, price action, and volume. It reduces emotional decision-making by applying predefined trading rules and highlighting important market events such as breakouts, accumulation days, distribution days, and trend changes.

Key Takeaway

The combination of Bid, Ask, Spread, Liquidity, and the DeepVue Market Navigator helps traders better understand market behavior, improve trade execution, and make more disciplined trading decisions.

Conclusion

Today's session provided a deeper understanding of how trades are executed and how professional traders evaluate market quality before entering positions. I learned that liquidity and spread directly impact trade execution, while the DeepVue Market Navigator offers a systematic approach to identifying potential buy and sell opportunities. These concepts reinforced the importance of combining market mechanics, volume analysis, and technical indicators to make better trading decisions and manage risk effectively.